18. Income Taxes

The components of our income tax expense/(benefit) were as follows:

($ in millions)	2016	2015	2014
Current			
Federal and foreign	$ (12)	$ 5	$ 12
State and local	4	6	8
Total current	(8)	11	20
Deferred			
Federal and foreign	9	(1)	9
State and local	—	(1)	(6)
Total deferred	9	(2)	3
Total	$ 1	$ 9	$ 23

The following table summarizes a reconciliation of income tax expense/(benefit) compared with the amounts at the U.S. federal statutory income tax rate:

($ in millions)	2016	2015	2014
Federal income tax at statutory rate	1	(176)	(243)
State and local income tax, less federal income tax benefit	(2)	(21)	(29)
Increase/(decrease) in valuation allowance	(1)	185	290
Other, including permanent differences and credits	3	21	5
Total income tax expense/(benefit)	1	9	23

Table of Contents

Our deferred tax assets and liabilities were as follows:

($ in millions)	2016	2015
Assets		
Merchandise inventory	$ 27	$ 39
Accrued vacation pay	17	22
Gift cards	98	90
Stock-based compensation	58	77
Deferred equity adjustment	4	11
State taxes	12	15
Workers' compensation/general liability	74	85
Accrued rent	39	37
Litigation exposure	16	32
Mirror savings plan	13	15
Pension and other retiree obligations	76	96
Net operating loss and tax credit carryforwards	931	1,072
Other	73	65
Total deferred tax assets	1,438	1,656
Valuation allowance	(993)	(1,025)
Total net deferred tax assets	445	631
Liabilities		
Depreciation and amortization	(561)	(741)
Tax benefit transfers	(53)	(56)
Long-lived intangible assets	(35)	(28)
Total deferred tax liabilities	(649)	(825)
Total net deferred tax liabilities	$ (204)	$ (194)

Deferred tax assets and liabilities included in our Consolidated Balance Sheets were as follows:

($ in millions)	2016	2015
Other current assets	$ 196	$ 231
Other long-term liabilities	(400)	(425)
Total net deferred tax liabilities	$ (204)	$ (194)

As of January 28, 2017, a valuation allowance of $993 million has been recorded against our deferred tax assets. In assessing the need for the valuation allowance, we considered both positive and negative evidence related to the likelihood of realization of the deferred tax assets. As a result of our assessment, we concluded that, beginning in the second quarter of 2013, our estimate of the realization of deferred tax assets would be based solely on the future reversals of existing taxable temporary differences and tax planning strategies that we would make use of to accelerate taxable income to utilize expiring net operating loss (NOL) and tax credit carryforwards.

In accordance with accounting standards, we are required to allocate a portion of our tax provision between operating losses and Accumulated other comprehensive income/(loss). In 2015 and 2014, the company did not benefit any of its operating loss and incurred an actuarial loss in Other comprehensive income/(loss), the tax benefit on which was fully offset by a valuation allowance within Other comprehensive income/(loss). In 2016, we experienced income in both continuing operations and other comprehensive income. Under the allocation rules we are only required to recognize the valuation allowance allocable to the tax

benefit attributable to losses in each component of comprehensive income. Accordingly, there is no valuation allowance offsetting a deferred tax benefit attributable to other comprehensive income included in the total valuation allowance of $993 million noted above. However, in 2016, we recorded a $12 million tax benefit in the Consolidated Statements of Operations offset by income tax expense on actuarial gains recorded in Other comprehensive income/(loss).

Table of Contents

For U.S. federal income tax purposes, we have $2.2 billion of gross NOL carryforwards that expire in 2032 through 2034 and $62 million of tax credit carryforwards that expire at various dates through 2034. These NOL carryforwards include an unrealized gross tax deduction of $28 million (tax effect $11 million) that will be recorded in equity when realized.

These carryforwards have a potential to be used to offset future taxable income and reduce future cash tax liabilities by approximately $931 million. The Company's ability to utilize these carryforwards will depend upon the availability of future taxable income during the carryforward period and, as such, there is no assurance the Company will be able to realize such tax savings.

The Company's ability to utilize NOL carryforwards could be further limited if it were to experience an "ownership change," as defined in Section 382 of the Code and similar state provisions. An ownership change can occur whenever there is a cumulative shift in the ownership of a company by more than 50 percentage points by one or more "5% stockholders" within a three-year period. The occurrence of such a change generally limits the amount of NOL carryforwards a company could utilize in a given year to the aggregate fair market value of the company's common stock immediately prior to the ownership change, multiplied by the long-term tax-exempt interest rate in effect for the month of the ownership change.

As discussed in Note 12, on January 27, 2014, the Board adopted the Amended Rights Agreement to help prevent acquisitions of the Company's common stock that could result in an ownership change under Section 382 which helps preserve the Company's ability to use its NOL and tax credit carryforwards. The Amended Rights Agreement was ratified by the shareholder vote on May 16, 2014 and remains effective through January 26, 2017. Approval required an affirmative vote of the shares of common stock present in person or by proxy at the Annual Meeting. As discussed in Note 12, the Company's Board of Directors resubmitted the Amended Rights Agreement for stockholder approval of a subsequent three year term.

The Amended Rights Agreement is designed to prevent acquisitions of the Company's common stock that would result in a stockholder owning 4.9% or more of the Company's common stock (as calculated under Section 382), or any existing holder of 4.9% or more of the Company's common stock acquiring additional shares, by substantially diluting the ownership interest of any such stockholder unless the stockholder obtains an exemption from the Board.

A reconciliation of unrecognized tax benefits is as follows:

($ in millions)	**2016**	**2015**	**2014**
Beginning balance	$ 91	$ 62	$ 70
Additions for tax positions of prior years	16	40	10
Reductions for tax positions of prior years	(24)	—	—
Settlements and effective settlements with tax authorities	(4)	(10)	(16)
Expirations of statute	—	(1)	(2)
Balance at end of year	$ 79	$ 91	$ 62

Unrecognized tax benefits included in our Consolidated Balance Sheets were as follows:

($ in millions)	**2016**	**2015**
Deferred taxes (current assets)	$ 75	$ 84
Accounts payable and accrued expenses (Note 6)	3	3
Other liabilities (Note 7)	1	4
Total	$ 79	$ 91

As of the end of 2016, 2015 and 2014, the unrecognized tax benefits balance included $32 million, $33 million and $36 million, respectively, that, if recognized, would be a benefit in the income tax provision after giving consideration to the offsetting effect of $11 million, $12 million and $13 million, respectively, related to the federal tax deduction of state taxes. The remaining amounts reflect tax positions for which the ultimate deductibility is highly certain, but for which there is uncertainty about the timing. Accrued interest and penalties related to unrecognized tax benefits included in income tax expense as of the end of 2016, 2015 and 2014 were $2 million, $3 million and $3 million, respectively.

We file income tax returns in U.S. federal and state jurisdictions and certain foreign jurisdictions. Our U.S. federal returns have been examined through 2014. We are audited by the taxing authorities of many states and certain foreign countries and are subject to examination by these taxing jurisdictions for years generally after 2008. The tax authorities may have the right to

Table of Contents

examine prior periods where federal and state NOL and tax credit carryforwards were generated, and make adjustments up to the amount of the NOL and credit carryforward amounts.